

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-13

Access One Transport, Inc.

v.

COSCO Shipping Lines Co. Ltd.

**RESPONDENT'S
PROPOSED FINDINGS OF FACT**

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Pursuant to 46 C.F.R. 502.214 and the Presiding Officer's Orders of March 8, 2024 and September 5, 2024, Respondent COSCO Shipping Lines Co. Ltd. ("COSCO"), through counsel, hereby submits the following Proposed Findings of Fact ("RPFFs") in support of its Brief in Opposition and states as follows:

I. INTRODUCTION

RPFF1. On June 18, 2024, Respondent filed its Verified Answer ("Answer") to Access One Transport, Inc. ("Complainant" or "AOT") Verified Complaint ("Compl."). Answer to Verified Complaint ("Compl.") at 1-21.

RPFF2. The "relevant time period" of the remaining unwaived detention charges in AOT's claims is September 22, 2021 through July 7, 2022. (CX01430-01439).

RPFF3. The "subject shipments" are those containers for which "detention charges [were] assessed against ACCESS ONE that have not been previously waived." Compl. ¶ 39.

RPFF4. AOT alleged that "COSCO has charged detention in an unreasonable, arbitrary and capricious manner [sic]." Compl. ¶ 24.

RPFF5. AOT alleged that it "would have been able to return containers to COSCO during free time but for COSCO and its terminal's actions." Compl. ¶ 28.

RPFF6. AOT further alleged that "COSCO involuntarily forced ACCESS ONE to act as a storage facility for COSCO empty containers without compensation. Such actions not only should have incurred storage and related charges for the containers for COSCO's account, it also caused ACCESS ONE to incur and assess storage and chassis charges to its customers, and interfered with ACCESS ONE's operations and its relationship with its customers." Compl. ¶ 29.

RPFF7. AOT alleged the following damages: "detention charges . . . that have not been previously waived by COSCO in the minimum amount of \$336,635.00"; "chassis charges

associated with the storage of COSCO's empty containers int [sic] the minimum amount of \$124,160.00"; "storge [sic] costs for of COSCO's empty containers in the minimum amount of \$139,690.00;" "stop off charges in the minimum amount of \$31,875.00"; "redelivery charges in the minimum amount of \$20,400.00;" and various other types of damages without specified monetary amounts. Compl. ¶ 39.

RPFF8. AOT's President, Nobu Suzuki, verified the Complaint. Compl. At 13.

II. THE PARTIES

A. COMPLAINANT ACCESS ONE TRANSPORT

RPFF9. Complainant Access One Transport, Inc., is a California corporation operating as a motor carrier. Compl. ¶ 1.

RPFF10. AOT and COSCO are parties to a Uniform Intermodal Interchange Agreement and Addendum ("UIIA"). CX00148-00153.

RPFF11. AOT is an "Equipment User" ("EU") pursuant to the UIIA. CX00148.

RPFF12. With respect to the subject shipments, AOT was not a shipper as defined by 46 U.S.C. § 40102(23). [RX35] (Complainant's Responses to Respondent's Requests for Admission at 5 (August 22, 2024)).

RPFF13. With respect to the subject shipments, AOT never appeared as a shipper or consignee on any bill of lading issued by COSCO. [RX35] (Complainant's Responses to Respondent's Requests for Admission at 5 (August 22, 2024)).

RPFF14. AOT, in its ordinary course of business, was engaged to dray full and empty containers from various terminals at the Ports of Los Angeles and Long Beach ("LA/LB"). Compl. ¶ 10.

RPFF15. During the relevant period, AOT's customers were shippers who at times

transported cargo using COSCO's services. AOT both pulled full containers from the terminal and returned empty containers on behalf of its customers. [RX35] (Complainant's Responses to Respondent's Requests for Admission at 4-5 (August 22, 2024)).

RPFF16. With respect to the subject shipments, AOT was responsible for returning COSCO's empty containers to the on dock and off dock marine terminal container yards designated by COSCO. [RX38] (Complainant's Responses to Respondent's Requests for Admission at 8 (August 22, 2024)).

B. RESPONDENT COSCO SHIPPING LINES CO. LTD.

RPFF17. Respondent COSCO Shipping Lines Co. Ltd. ("Respondent" or "COSCO") is a vessel-operating common carrier ("VOCC" or ocean common carrier) as defined by 46 U.S.C. § 40102(7). Answer at 4.

RPFF18. Respondent is headquartered at No. 378 Dong Da Ming Road, Shanghai, 200080, People's Republic of China. Answer at 2.

RPFF19. COSCO Shipping Lines (North America) Inc. ("CSLNA") is COSCO's agent in the United States with offices located at 100 Lighting Way, Secaucus, NJ 07094. Answer at 3.

RPFF20. COSCO is an "Equipment Provider" ("EP") pursuant to the Uniform Intermodal Interchange Agreement and Addendum ("UIIA") with AOT. CX00150 (COSCO's UIIA Addendum, Section 1).

C. TERMINALS

RPFF21. Long Beach Container Terminal is a marine terminal located in the Middle Harbor Terminal in the Port of Long Beach. See <https://www.lbct.com/Home/Default> (last visited January 19, 2025).

RPFF22. Fenix Marine Services ("FMS") is a marine terminal located on Terminal Island in

the Port of Los Angeles. See <https://fenixmarineservices.com/terminal/> (last visited January 19, 2025).

RPFF23. Pacific Container Terminal (“PCT”) is a marine terminal located on Pier J at the Port of Long Beach. See <https://www.ssamarine.com/locations/pacific-container-terminal/> (last visited January 19, 2025).

RPFF24. Everport Terminal Services (“ETS”) operates a marine terminal located on Terminal Island in the Port of Los Angeles. See <https://www.etslink.com/> (last visited January 19, 2025).

RPFF25. Advent eModal (“eModal”) is a web-based port community system used by terminals, carriers, truckers, chassis providers, and others. See “CargoSpring Acquires Advent eModal”, Business Wire, December 16, 2024 (available at <https://www.businesswire.com/news/home/20241213332327/en/CargoSpring-Acquires-Advent-eModal> (last visited January 19, 2025)).

RPFF26. During the relevant period, COSCO used eModal to send daily updates to AOT regarding terminal operations. See, e.g., CX 01312-01418.

RPFF27. In addition to emails from eModal and ocean carriers, some motor carriers also use third-party services such as Blue Cargo to obtain information regarding terminal status and appointment availability. See CX01447. Blue Cargo is a third-party platform that collects information about vessel schedules, weekly terminal gate schedules, and container status, and provides notifications to subscribers. See <https://www.bluecargo.io/> (last visited January 19, 2025).

RPFF28. COSCO would designate terminal locations for empty returns via eModal and through email information from COSCO’s Long Beach Customer Service Center. (CX 01311-

CX01418). eModal is a web-based platform which provides visibility as to terminal status and the ability to make appointments for the pickup of full containers or the return of empty containers to terminals at LA/LB. *Id.*

RPFF29. Once COSCO designates a terminal location for empty returns, a motor carrier must then make an appointment with the designated terminal before returning the empty container. CX01447.

RPFF30. There are a limited number of terminal appointments available on a given day. COSCO's eModal email broadcasts included the reminder, "An appointment is required for all terminal transactions on a First Come First Serve basis." (CX01313).

RPFF31. The UIIA provides for how interchange of containers is made and paid for. "Saturdays, Sundays, and Holidays are not counted when computing the free time allowance. Holidays refer to those that are enumerated in labor contracts at the point of interchange." UIIA Addendum, Section 5. CX00151.

RPFF32. The UIIA provides for how free time on containers is allowed and calculated. "Free Time shall be allowed for the equipment commencing the day the equipment is delivered to the Motor Carrier at the terms indicated below. Saturdays, Sundays, and Holidays shall be excluded in computing free time. Coincident with the expiration of free time, per diem charges shall be assessed on the equipment for each calendar day until the day said equipment properly returned to the Provider." UIIA Addendum, Section 6. CX00151-CX00152.

RPFF33. Pursuant to the UIIA, COSCO assesses per diem detention charges on container equipment that is not returned within the free time allotted. UIIA Addendum, Section 6. CX00151-CX00152.

RPFF34. In conformity with the UIIA and local law, COSCO does not assess per diem

detention charges on weekend days or holidays. CX00151 (COSCO UIIA Addendum, Section 6). RPFF35. The UIIA provides the point of contact for disputing per diem invoices. “Effective November 30, 2014, all Per Diem invoice disputes must be sent to the following e-mail address: shaperdiem@coscon.com.” CX00153.

RPFF36. COSCO’s Long Beach Customer Service Center’s website identifies that “All demurrage and detention disputes need to provide below information: BL#, Invoice#, Proof of payment if terminal collect, Amount of refund requested, Container number/s, Relevant dates, Amount of days disputing, and Supported reasons for the dispute.” See <https://coscoshippingla.freshdesk.com/support/tickets/new>.

RPFF37. The UIIA addendum provides for the method of dispute resolution. “Motor carrier shall advise Provider in writing of any disputed items on Provider’s invoices within 30 days of the receipt of such invoice(s). Provider will undertake to reconcile such disputed items within 30 working days of receipt of Motor Carrier’s notice and will either provide verification for the charges as invoiced or will issue a credit to the Motor Carrier’s account for any amount not properly invoiced.” UIIA Addendum Section 7 B., CX 00153.

III. DISPUTED INVOICES

A. COMMUNICATIONS BETWEEN COSCO AND AOT

RPFF38. When other entities are using its container equipment, COSCO designates a marine terminal (usually terminals) where those containers may be returned and provides such information to relevant third parties. Answer at 6-7.

RPFF39. The UIIA Addendum requires the equipment provider to timely advise the equipment user on where to return empty containers. CX00150, COSCO UIIA Addendum, Section 3.

RPFF40. A dual transaction requires a motor carrier to pick up a full container at the same time that it drops off an empty container. Answer at 1.

RPFF41. Marine terminal operators, not common carriers, are responsible for imposing dual transaction requirements. *Id.*

RPFF42. During the relevant time period , there were some occasions when the designated return terminal imposed a dual transaction requirement and AOT may not have had the requisite full container pick up to allow a delivery of an empty container to the terminal. AOT has entered into the record emails communicating these difficulties to COSCO between February 9, 2022 (CX01400) and April 5, 2022 (CX01373). But COSCO directed AOT to empty return locations that did not have such requirements. *See* RPFF47 (citing CX01397 (email from Philip Taylor stating, *inter alia*, “LBCT is open for empty single returns.”)).

RPFF43. On Wednesday, February 9, 2022, AOT President Nobu Suzuki emailed COSCO representatives Susy McKellar and Lu Guanlin with a list of containers, saying that, “We have been sending daily emails for return locations and still do not have return locations unless a dual, even at that lack of appointments. . . Please stop the clock on all these containers as we have too many [empties] for cosco sitting and I don’t not want to billed [sic] for per diems we are not at fault.” CX01402.

RPFF44. That same day, COSCO’s Suzy McKellar responded with instructions to dispute per diem charges if empty containers could not be returned prior to the last free day and directing Mr. Suzuki to COSCO’s per diem dispute department, shaperdiem@cosco.com, in Shanghai. CX01401.

RPFF45. Mr. Suzuki responded to Ms. McKellar bemoaning the lack of appointment availability, saying that, “the whole SoCal market is gunning for these appointments.” CX01400.

RPFF46. On Thursday, February 10, Ms. McKellar added Phillip Taylor, COSCO's LA/LB Deputy General Manager, to the email thread, saying, "Kindly ask for your guidance or any suggestion regarding empty return challenges to our good customer Tireco and Access One Logistics Inc., their trucking company." CX01396-01397.

RPFF47. Mr. Taylor responded promptly that, "LBCT is open for empty single returns. Additional appointments were released today, and there will be no issue securing empty return appointments during Friday night, or Saturday/Sunday day shifts. ***Please plan to take advantage of the weekend offering.*** ETS is also open for return tonight and tomorrow. PCT will accept empties on WCCP chassis." CX01397 (emphasis added).

RPFF48. Following this message from Mr. Taylor, Mr. Suzuki told TireCo (the consignee of the shipments) representatives, "LBCT shows open but there is no appointments available." CX1396. Mr. Suzuki did not otherwise respond to COSCO following Mr. Taylor's email. *Id.*

RPFF49. AOT submitted eleven (11) total customer service tickets to COSCO's LA/LB Equipment Control Department – ***not*** the Shanghai per diem dispute department at shaperdiem@cosco.com – identifying problems returning empty containers to LA/LB. On Friday, February 11, 2022, AOT submitted its first ticket (#510775) for issues returning empty containers at LA/LB, citing "No return location for 40 HC single." CX01384.

RPFF50. On Thursday, February 17, 2022, AOT submitted a ticket to COSCO (#514951) for issues returning empty containers at LA/LB, citing "No return locations for 40 HC single." CX01392-01393.

RPFF51. On Thursday, March 24, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#540204) for issues returning empty containers at LA/LB, saying "No return location for 40 HC single." CX01357.

RPFF52. On Friday, March 25, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#541128) for issues returning containers at LA/LB, saying "No return location for 40 HC single." CX01359.

RPFF53. That same day, March 25, 2022, COSCO's LA/LB Equipment Control Department advised AOT, "Unfortunately the Equipment Control Department does not have the authority to waive per diem, Exempt, and cannot Stop the Per Diem Clock for issues by the Terminal's appointment system but you may file a dispute with Shanghai Per Diem" and provided the shaperdiem@cosco.com email addresses. CX01320.

RPFF53. On Monday, March 28, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#541968) for issues returning empty containers at LA/LB, saying, "No return location for 40 HC single." CX01361.

RPFF54. On Tuesday, March 29, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#543102) for issues returning empty containers at LA/LB, saying, "Need to return location [sic] for 40 HC single." CX01363.

RPFF55. In response to AOT's emails regarding its inability to execute a dual transaction, COSCO responded on March 29, 2022, "We ask you to please continue checking and monitor for next available appointment or cancellation for returns." CX01328.

RPFF56. On Wednesday, March 30, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#544177) for issues returning empty containers at LA/LB, saying "Need return location for 40 HC single." CX01365.

RPFF57. On Thursday, March 31, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#545045) for issues returning empty containers at LA/LB, saying, "Need 40 Ft single empty return locations." CX01367.

RPFF58. On Friday, April 1, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#545918) for issues returning empty containers at LA/LB, saying, "Need 40 FT return location for single." CX01369.

RPFF59. On Monday, April 4, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#546948) for issues returning empty containers at LA/LB, saying, "Need return locations for 40 HC single." CX01371.

RPFF60. On Tuesday, April 5, 2022, AOT submitted a ticket to COSCO's LA/LB Equipment Control Department (#548289) for issues returning empty empty containers at LA/LB, saying "Need 40 FT empty return for single." CX01373.

RPFF61. Of the eleven tickets AOT submitted to COSCO's LA/LB Equipment Control Department, none identified issues obtaining appointments for weekend days. *See* RPFFs 49-60.

RPFF62. AOT has introduced no evidence that it ever took advantage of any weekend appointment slots, contrary to COSCO General Manager Phillip Taylor's express instructions.

B. WAIVERS GRANTED TO DATE

RPFF63. Despite its contractual obligation to COSCO to return empty containers during free time, AOT returned at least 379 containers after free time had expired. CX01430-01439.

RPFF64. Of these 379 containers for which AOT incurred detention charges, COSCO has waived charges for all but 61 containers. Brief at 9.

RPFF65. The total amount COSCO has waived is \$307,990.00. Brief at 38.

RPFF66. AOT's list of 61 disputed charges identify detention charges incurred on 57 dates ranging from September 22, 2021 through July 7, 2022. CX01430-01439.

RPFF67. The total amount of detention charged on the 61 containers at issue is \$45,995.00. Br. at 38.

RPFF68. Of those 57 dates on which COSCO upheld invoiced detention charges, COSCO had previously invoiced and waived charges for 32 days. COSCO did not waive any detention charges for 25 of the 57 dates on which detention charges were sustained. CX01430-01439.

RPFF69. Of the 25 dates on which COSCO did not waive any detention charges, AOT provided supporting Blue Cargo screenshots for only 15 of those dates. *See* CX01092-01302. The ten dates for which AOT has not provided supporting documentation demonstrating lack of appointments are May 2, 3, 13, 16, 17, 18, 19, 20, 23 and 24, 2022. *Id.*

RPFF70. Of the 61 disputed detention charges, 19 containers incurred detention charges at least partially on those May 2022 dates for which AOT has not provided evidence demonstrating that no terminal appointments were available (*compare* CX01430-01439 *with* CX01092-01302):

	Container Number	Invoice Number	Dates Lacking Documentation
1	FFAU3181482	HOU00091151	May 2 – 3, 2022
2	CSNU7195096	HOU00091152	May 2, 2022
3	OOCU7578753	HOU00091529	May 2, 2022
4	XYLU8114304	HOU00098379	May 13 – 24, 2022
5	OOLU6850420	HOU00098379	May 13 – 16, 2022
6	UETU5323081	HOU00098379	May 13 -17, 2022
7	FSCU8831653	HOU00098379	May 13 – 16, 2022
8	OOLU9968736	HOU00098380	May 13 – 16, 2022
9	TGBU4854030	HOU00098380	May 13 – 23, 2022
10	DFSU7630915	HOU00098379	May 13 – 16, 2022
11	TEMU6361032	HOU00098380	May 13 – 17, 2022
12	OOLU6893145	HOU00098379	May 13 – 23, 2022

13	TLLU5742117	HOU00098380	May 13 – 16, 2022
14	CSNU8070093	HOU00098380	May 13 – 16, 2022
15	FFAU3186674	HOU00098380	May 16 – 17, 2022
16	FSCU8987440	HOU00098380	May 13 – 18, 2022
17	CAIU9569793	HOU00098380	May 13 – 18, 2022
18	GESU6910574	HOU00098379	May 16 – 23, 2022
19	WBOU7025860	HOU00098379	May 17 – 24, 2022

RPFF71. The invoices listed in RPFF70 total \$18,435.00. See CX01430.

RPFF72. Of the 61 disputed detention charges, AOT did not even attempt to return the container in question until after free time had expired for the following 9 containers:

Container Number	Last Free Date	Date of First Attempted Return
OOCU6910755	April 1, 2022	April 7, 2022
TCNU3739936	April 1, 2022	April 7, 2022
OOCU7227661	April 4, 2022	April 11, 2022
CBHU9551069	April 4, 2022	April 8, 2022
OOCU7067630	April 5, 2022	April 11, 2022
GCXU5485144	June 28, 2022	July 6, 2022
TRHU4010428	June 29, 2022	June 30, 2022
OOLU6928489	April 6, 2022	April 14, 2022
CSNU8517330	June 28, 2022	June 29, 2022

RPFF73. Of the 52 remaining containers in dispute, AOT first attempted to return fully 46 of them (88%) on the *very last free day available*. Compare CX10430, columns L and M.